

Registration for GST [¶32-148]

[¶32-148]

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A person is liable to register if, in the course of all taxable activities:

- # at the end of any month, the value of supplies made in New Zealand during that month and the preceding 11 months exceeds the \$60,000 registration threshold, or
- # at the commencement of any month, there are reasonable grounds for believing that the value of supplies made in New Zealand during that month and the following 11 months will exceed the \$60,000 threshold.

The \$60,000 threshold for registration is calculated with reference to the value of supply rules. If, for example, a person is not registered for GST but leases a farm property to an associate and the market rental for the lease exceeds the threshold, the value of supply will be the market rental and the lessor will be deemed to be registered for GST. See Case T12 (1997) 18 NZTC 8,070 and Case U1 (1999) 19 NZTC 9,001. See also *The Trustee, Executors and Agency Co New Zealand Ltd v C of IR* (1997) 18 NZTC 13,076 (HC).

Not required to register

A person is not required to register if:

- # that person can convince the Commissioner that, at the commencement of any month, the value of supplies to be made in the 12 months then following will not exceed the threshold, or
- # the value of supplies exceeds the threshold solely because of:
 - # the scaling down, or cessation, of business (s 51(1)(c)), or
 - # the replacement of any plant or capital asset (s 51(1)(d)).

An unregistered person must therefore evaluate their position at the end of each month. Anyone who is liable to be registered and fails to do so within 21 days of becoming liable commits an offence under s 143 of the TAA.

Factors to remember when calculating the threshold are:

- # the value of supplies excludes GST
- # the value of exempt supplies is not to be taken into account (because exempt supplies are not part of a taxable activity), and
- # the value of supplies made in the course of all taxable activities carried on by the supplier is to be taken into account. For example, a trader exceeds the threshold if carrying on one taxable activity with supplies of \$50,000 per annum and a second taxable activity with supplies of \$15,000 pa.

A special statutory rule applies where 2 or more companies amalgamate. Here, for the purposes of calculating the registration threshold, the merged (ie amalgamated) company is deemed to have the combined turnover of all of the companies as at the date of amalgamation.

Voluntary registration

A person carrying on a taxable activity, or intending to carry on a taxable activity from a specific date, can register for GST on a voluntary basis even if the total value of supplies made does not exceed the \$60,000 threshold.

Early registration

A person who intends to register should do so at an early stage when that person starts up a business (the person can claim back GST paid on initial inputs) or that person purchases a business from a registered person (a registered person will pay 0% tax if the business is a going concern whereas an unregistered purchaser will pay GST at the standard rate).

Effective date of registration

Where a person is liable to be registered for GST because the registration threshold is expected to be exceeded and the person applies to be registered, the Commissioner has complete discretion as to the effective date of that registration. Generally, the Commissioner will make the date effective from when the person first became liable to register for GST. However, where a person fails to apply, the Commissioner must register the person from the date that the person first became liable to be registered, although they also have the discretion to register a person from such later date as is considered equitable, having regard to the circumstances of the case. In practice, this discretion is rarely exercised.

In the case of voluntary registration, the Commissioner will generally select the date on which they became satisfied that the person was able to be registered for GST. In exceptional circumstances, the Commissioner may approve registering the person from a date in the past.

In standard practice statement, [SPS 18/03](#), "Effective date of GST registrations", the Commissioner identifies the following as factors that will be considered to determine whether a retrospective GST registration would be approved:

- # The reason why the applicant did not voluntarily register earlier. Persuasive circumstances include absence overseas, illness, or personal tragedy.
- # Whether the applicant proceeded in business in the genuine belief that they were ineligible to be registered.
- # Whether the applicant proceeded in business on the reasonable belief that the registration is automatic.
- # The applicant's ability to verify the amount of output tax payable on the supplies made during that period.
- # The compliance cost difference between allowing a retrospective date and allowing a current date. This applies for both the Commissioner and the applicant.
- # The amount of time between the date of application and the requested registration date. The longer the time between the application date and the requested retrospective registration date, the less likely that the Commissioner will exercise the discretion.
- # The effect that a backdated registration would have on the administration of the Act. This includes consideration of the effect the backdated registration would have on other persons, including suppliers and recipients. This is particularly relevant for land transactions involving another GST-registered party. The Commissioner would need to be satisfied that both parties to a land transaction were treating that transaction consistently in terms of the zero-rating provisions in s [11\(1\)\(mb\)](#).

The list is not exhaustive and there may be other factors relevant to the particular applicant's circumstances.

Where the Commissioner backdates the registration, the person must account for GST from the date the person is registered. From the registration date, the applicant will be able to claim input tax deductions for goods acquired for use in making taxable supplies for that period, provided that the relevant taxable supply information have been retained.

Effect of registration

A registered person must account to the Commissioner for GST charged on supplies made, may claim a credit for input tax and other deductions and must make GST returns and pay any net GST amount to the Commissioner at either monthly, 2-monthly, or 6-monthly intervals. Other consequences of registration are that a registered person can be required to issue taxable supply information, and supply correction information, may be assessed for tax payable and can object to certain decisions of the Commissioner and

to assessments. Also, a registered person is liable to pay interest and late payment penalties if GST is not paid by the due date. They must keep full and appropriate records establishing that person's liability for the tax and are to advise the Commissioner of certain events, ie give notice to the Commissioner within 21 days of any change of address or ceasing to carry on a taxable activity. Cancellation of registration does not relieve a registered person of the obligation to meet pertinent GST responsibilities.

Special status registration

Special registration principles apply to the following individuals and groups:

- # groups of companies
- # groups of persons
- # branches and divisions of a registered person
- # unincorporated bodies, partnerships, joint ventures and trusts, and
- # personal representatives, liquidators, receivers and mortgagees in possession.

See ss [55–58](#) of the GST ACT and [¶32-130](#), [¶23-110](#) and [¶23-115](#).

Group registration

Entities can be grouped for GST. For a discussion on who can be grouped and the consequences of grouping for GST, see [¶32-086](#). For record keeping for GST groups from 1 April 2023, see [¶32-151](#).

Residency for GST purposes

Interpretation statement, [IS 21/07](#), “GST – Definition of a resident” provides guidance on how to determine whether a person is a resident for GST purposes. The importance of determining whether a person is a New Zealand resident for GST purposes is that it may affect whether GST needs to be charged on any supplies made to that person. It is also relevant to whether the person is required to charge and account for GST on supplies they make in New Zealand and whether a person can or is required to register for GST in New Zealand.

The statement summarises the ways the GST definition of “resident” differs from the income tax definition as follows:

- # By extending it to include a person who has a “fixed or permanent” place in New Zealand where that place is related to a taxable activity carried on by the person in New Zealand.
- # For unincorporated bodies, it provides for a residence test based on its centre of administrative management.
- # For individuals, the definition differs for the commencement and end dates of residency when applying the day-count test.

It is important to determine whether a person is a New Zealand resident for GST purposes, as it may affect whether GST needs to be charged on any supplies made to that person. It is also relevant to whether the person is required to charge and account for GST on supplies they make in New Zealand and whether a person can or is required to register for GST in New Zealand. The statement discusses each of these differences and provides a number of examples.

Registration for non-residents

From 1 April 2014, non-residents that are not making taxable supplies in New Zealand may be able to register under s [54B](#). Before that date, non-resident businesses that were not carrying on a taxable activity in New Zealand still bore New Zealand GST as an economic cost of doing business. Section [54B](#) allows non-resident businesses to register and claim input tax deductions in broadly the same manner as comparable New Zealand businesses.

For a non-resident person to be registered under s [54B](#), the Commissioner must be satisfied that the person is not liable to be registered under the ordinary registration rules and that:

- # the person is registered for a consumption tax in the territory in which they are resident, or, if that territory does not have a consumption tax, the person is carrying on a taxable activity in that territory that would make them liable to be registered in New Zealand if they were carrying it on here
- # the person's input tax claim for their first taxable period after registration is likely to be more than \$500, or the person is likely to be liable for GST levied by the New Zealand Customs Service under s [12](#) on the importation of goods
- # the person's taxable activity does not involve a performance of services where it is reasonably foreseeable that the performance of the services will be received in New Zealand by a person other than in the course of making taxable or exempt supplies
- # the person is not making, or intending to make, a taxable supply in New Zealand (or a supply that would be a taxable supply if the person were registered under s [51](#), to an unregistered person in New Zealand), and
- # the person is not, and does not intend to become, a member of a group of companies carrying on a taxable activity in New Zealand.

If a non-resident registered under s [54B](#) starts making taxable supplies or becomes a member of a group of companies making taxable supplies, they will be treated as not registered from that date.

Where a registered person has a non-resident parent or branch, the non-resident parent or branch may be treated as a separate person for these purposes and may be registered under s [54B](#) if they satisfy the above requirements for registration.

See *Tax Information Bulletin* [¶1259-103 Vol 25, No 9](#), October 2013 at 33 and *Tax Information Bulletin* [¶1295-106 Vol 29, No 5](#), June 2017 at 89 for examples.

Interpretation statement, [IS 21/03](#), "GST – Registration of non-residents under section 54B" provides guidance on whether a non-resident is eligible to register under s [54B](#). The statement steps through each of the cumulative requirements of s [54B](#) and provides examples as to how the section applies. In addition, the statement contains flowcharts to help determine the place of supply of goods or services supplied by a non-resident and whether the non-resident is liable to register under s [51](#) or may be eligible to register under s [54B](#). The item also provides a brief discussion on the relevant administrative issues in relation to registration under s [54B](#).

Exception from the bank account requirement

Section [55B\(2\)](#) of the TAA provides an exception for non-residents to the requirement for an offshore person to have a fully functional New Zealand bank account to obtain an IRD number where the IRD number is required solely because they are registering for GST (whether under the usual registration rules in s [51](#) or the non-resident registration rules in s [54B](#)).

Bodies corporate

The rules relating to bodies corporate apply only to a "unit title body corporate", which means a body corporate under the Unit Titles Act 2010 (including those established under the Unit Titles Act 1972), but excludes a body corporate of a retirement village registered under the Retirement Villages Act 2003.

The rules clarify that levies and other amounts paid by a body corporate's members to the unit title body corporate are treated as consideration received for services supplied by the body corporate to its members. However, the value of the body corporate supplies to members is excluded from the body corporate's total value of supplies when determining whether the unit title body corporate is required to register. Thus, if a unit title body corporate only makes supplies to its members, it will not be required to register even if the \$60,000 threshold is exceeded. However, if it is required to register because supplies to third parties exceed the registration threshold (or the body corporate decides to voluntarily register), the body corporate will be required to return output tax on the full value of both its member and third party supplies.

With the effect from 30 March 2025, amendments to ss [5\(13C\)-\(13D\)](#) and [20\(3\)\(j\)](#) provide that if a GST-registered unit title body corporate distributes funds to its members, it can claim an input tax deduction on the GST fraction of the distribution. If the member who receives the distribution is also GST-registered, they are required to account for output tax on the distribution to the extent to which they are using the unit to make taxable supplies.

Supply on day of registration

If a unit title body corporate decides, or is required, to register, the body corporate will be treated as receiving consideration for a supply of services equal to the total value held by the body corporate on registration day of money and assets that are not common property (under the Unit Titles Act 2010) and were received by the body corporate as exempt supplies. The supply of services will be treated as performed on the day of registration.

Voluntary registration

Where a unit title body corporate makes an application to voluntarily register after 26 February 2015 (the date of the introduction of the relevant legislation), it must be registered with effect from a date after the registration application date. This prevents a body corporate from backdating its registration to avoid the output tax liability discussed above.

A unit title body corporate that registers for GST will not be able to make an adjustment under s [21B](#) for goods and services acquired before registration.

Deregistration

Where a unit title body corporate that was registered before 26 February 2015 decides to cancel their registration after that date, the cancellation must take effect on or after the date they apply to cancel their registration. Any common property held by the unit title body corporate at the time of deregistration is valued at zero. This means the unit title body corporate is not required to return output tax on those assets held at the time its registration ceases.

A unit title body corporate that registers for GST after 26 February 2015 cannot deregister for at least a period of 4 years.

Interpretation statement, [IS 23/08](#) "Goods and Services Tax – Unit titles bodies corporate" explains how GST applies to transactions between a unit title body corporate, its members and third-party suppliers. Apart from the general tax law around registration and the operation of the GST rules to these entities, the statement discussed the following specific transactions:

- # goods and services acquired before GST registration
- # services that a member supplies to the body corporate
- # the supply of manager's accommodation
- # ground rent, and
- # receiving one off payments.

The interpretation statement is accompanied by 2 fact sheets. [IS 23/08 FS 1](#) which provides guidance for bodies corporate considering registering for GST. [IS 23/08 FS 2](#) which provides guidance for those already registered for GST.

Unincorporated bodies

QWBA, [QB 19/11](#), "GST — administration or management services provided by an unincorporated body to its members" provides guidance on when a group of property owners, tenants or professionals who join together for administration or management of their common interests will be an "unincorporated body" for GST purposes and required to register and charge GST. The item does not consider the GST position of partnerships, joint ventures or the trustees of a trust providing administrative or management services to their

members. It also does not consider bodies corporate under the Unit Titles Act 2010. [QB 19/11](#) also contains several examples.

[QB 19/11](#) provides that “a group of individuals or co-owners of property including a residents’ association, a property management committee or a clinic or practice manager established by professionals to carry out administrative services may be an “unincorporated body of persons” for GST purposes if they have the following kinds of characteristics:

- # is formed by its members for one or more common purposes;
- # has a significant degree of regulation governing the relationship between its members;
- # has agreed rules, setting out matters like:
 - # how it is governed and how decisions are made by the body;
 - # how its funds may be used;
 - # what happens when members join and leave the group; and
 - # is a structure recognised as a collective entity of its members.”

An unincorporated body will also usually have a name and a bank account.

A group of people will not usually be an “unincorporated body of persons” for GST purposes if:

- # they simply own property together, and all that is involved is a loose moral obligation to consult with their co-owners
- # they make decisions together, but without forming a body with mutual duties and obligations between members
- # there is no significant degree of regulation or agreement between them governing their relationship, and
- # their relationship is confined to a cost-sharing arrangement.

The item concludes that when an unincorporated body makes supplies of administrative or management services to its members, that activity involves the body making supplies to another person within the definition of a taxable activity. Provided the activity is also carried on continuously or regularly and for a consideration, therefore satisfying the definition of a taxable activity, an unincorporated body must register when the value of all its supplies of goods and services, including its administrative or management services, exceed the \$60,000 registration threshold. The body may also voluntarily register for GST if it is below the threshold.

Law: GST ss [5\(8A\)](#), [5\(13C\)-\(13D\)](#), [\(8AB\)](#), [10\(7A\)](#), [20\(3\)\(j\)](#), [21C](#), [51](#), [52\(8\)](#), [\(9\)](#), [54B](#), [61A\(6\)](#); TAA ss [55B\(2\)](#), [143](#)

Last reviewed on 31 December 2025

Cancellation of registration for GST [¶32-149]

[¶32-149]

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Registration can be cancelled if a registered person:

- # ceases to carry on all taxable activities, or
- # ceases to be liable to be registered (ie the projected value of that person's taxable supplies in any year to come does not exceed \$60,000).

Deregistration triggers an output tax liability on assets held within the GST taxable activity and the taxpayer will be unable to claim any further input tax deductions.

Cessation of all taxable activities

A registered person must inform the Commissioner within 21 days of ceasing to carry on all taxable activities. The information must:

- # specify the date of the cessation, and
- # state whether the person intends to carry on any taxable activity within 12 months of the date of cessation.

The Commissioner will then cancel the registration. Registration will not be cancelled if there are reasonable grounds for believing that the business will carry on a taxable activity within the following 12-month period. Notification of the date of cancellation will be sent to the business.

Relevant cases

In *Lopas v C of IR* (2006) 22 NZTC 19,726 (CA), the Court of Appeal considered the correct legal construction of s 52(1). The Commissioner had accepted an application from a forestry partnership to cancel its GST registration with effect from 30 September 1999. The Commissioner cancelled the partnership's GST registration from the date requested. Four days after applying to cancel their registration, the taxpayers sold the property to family trusts for \$375,000 inclusive of GST (if any). The trusts were created by deeds dated 20 September 1999 and owned the property in partnership. The trusts partnership applied to become registered from 1 October 1999. The Commissioner considered that on a correct application of s 52(1), cancellation of registration was not available at the date applied for and sought to alter the date of the taxpayers' GST deregistration to 30 November 1999. The significance of this was that an increased GST obligation was imposed on the taxpayers, ie output tax payable on the sale price of the property rather than its cost price. The Court of Appeal accepted the Commissioner's approach.

In *Thompson v C of IR* (2012) 25 NZTC ¶20-125 (SC), the Supreme Court noted that s 51(1) of the GST Act imposes a requirement to register for GST for a taxable activity when supplies over a 12-month period exceed the specified threshold. Taxpayers whose supplies are less than the threshold may become (or remain) registered on a voluntary basis. Under s 52, the entitlement to deregister rests on a forward-looking assessment that the taxpayer's supplies for the succeeding 12 months will not exceed that threshold.

The Court also noted that business assets retained by the taxpayer at deregistration are subject to output tax under s 5(3). In the case of assets that were acquired before 1 October 1986, output tax is calculated on the lesser of their cost price or open market value under s 10(8).

When applying the test under s 52(1) and (2), the Court said that deregistration depends on the Commissioner being "satisfied" that taxable supplies for the next 12-month period will not be more than the threshold. Therefore, there will normally be, at the date of deregistration, a settled intention that there will be no relevant asset disposals for at least 12 months and that, in the general run of cases, other taxable supplies will not exceed the threshold. The Supreme Court considered that the following comments may be of assistance should issues arise in the future as to the application of s 52:

- # First and foremost, s [52](#) means what it says and there is not much point in trying to paraphrase it.
- # Section [52](#) requires the Commissioner to be satisfied as to a negative (that turnover will not exceed the threshold). This involves an objective, forward-looking assessment and not one controlled by hindsight.
- # The test will not be satisfied when transactions that would result in the turnover being exceeded are either being implemented at the proposed deregistration date or planned to occur (or contemplated as likely to occur) in the course of the succeeding 12 months.
- # The test will probably be satisfied only where the taxpayer can show a settled intention that such transactions will not take place.

Commissioner's power to cancel registration

The Commissioner can cancel registration under these criteria, ie cessation of all taxable activities or cessation of liability to be registered.

Cancellation of registered non-residents

Section [54C](#) provides for instances when the Commissioner may cancel the registration of non-residents registered under s [54B](#) ([¶132-148](#)). In addition to the usual powers to cancel registration, the Commissioner will be able to cancel the registration of a non-resident registered under s [54B](#) if (see *Tax Information Bulletin* [¶1259-103 Vol 25, No 9](#), October 2013 at 33):

- # the Commissioner is satisfied the person is no longer eligible to be registered under s [54B\(1\)\(a\)](#) (this means that if the person's registration for consumption tax in their own territory lapses or, if their territory does not have a consumption tax, their supplies drop below \$60,000, they can be de-registered)
- # for 3 consecutive taxable periods, the person has either not filed a return or has filed a late return.

If registration is cancelled under the second bullet point above, the effective date of the cancellation will be the last day of the second taxable period. The non-resident will not be able to apply for registration again for 5 years from the date of cancellation, and this also applies to non-resident associates of the non-resident.

Under s [5\(3\)](#), there is a risk that a non-resident that deregistered for any reason may be liable for output tax on the market value of all their business assets, even if those assets were offshore. Section [5\(3B\)](#) deals with this by ensuring that the only deemed supplies that will occur on deregistration will be:

- # goods present in New Zealand at a time immediately before the person ceases to be registered, and
- # services that would be performed in New Zealand at that time the person ceases to be registered.

Date of cancellation

Registration is cancelled as at the last day of the taxable period during which all taxable activities ceased or during which the person ceased to be liable to be registered or such other date as is determined by the Commissioner. If the Commissioner exercises their power of deregistration on the cessation of a person's taxable activity, the effective date for cancellation of registration may be retrospective to a date not earlier than:

- # the last day of the taxable period during which the taxable activity ceased, or
- # the registration date, provided that no taxable activity was conducted after that date.

The Commissioner is required to notify the person of the date on which the cancellation of the registration takes effect.

Final return

After cancellation, a final GST return must be filed and any GST owing paid (s [16\(4\)](#)). The return must be provided on or before:

- # the 28th of the month following the end of the taxable period, or
- # the 15th of January, if the month following the end of the taxable period is December, or
- # the 7th of May, if the month following the end of the taxable period is April.

Liabilities survive cancellation

The liabilities and obligations of a registered person survive the cancellation of registration. GST records must be retained for a period of at least 7 years from the end of the taxable period to which they relate.

Law: GST ss [5\(3\)](#), [\(3B\)](#), [10\(7A\)](#), [\(8\)](#), [16\(4\)](#), [\(5\)](#), [51\(1\)](#), [52](#), [53](#), [54C](#)

Last reviewed on 31 December 2025

Tax invoices for GST [¶32-150]

[¶32-150]

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From 1 April 2023, the provisions relating to tax invoices are repealed. For commentary on tax invoices before 1 April 2023, please refer to CCH, *New Zealand Master Tax Guide 2023*.

See [¶32-151](#) onwards for the new rules in relation to taxable supply information requirements.

Law: GST ss [2\(1\)](#) (“[invoice](#)”, “[tax invoice](#)”)

Last reviewed on 31 December 2025

Taxable supply information requirements [¶32-151]

[¶32-151]

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The tax invoicing rules have been reformed in 2022 to simplify record-keeping requirements for GST purposes. The amended information rules for taxable supplies apply for taxable periods starting on or after 1 April 2023.

New GST information requirements

From 1 April 2023, a GST registered person is permitted to determine the form and manner of creating, providing, and retaining supply information as part of their normal record-keeping processes. For more detailed analysis on taxable supply information amendments, see *Tax Information Bulletin* [¶345-107 Vol 34, No. 5](#) June 2022.

For GST periods after 1 April 2023, a GST registered person is compliant if information about a taxable supply is:

- # recorded by a supplier and provides evidence for output tax returned
- # subsequently corrected, due to an inaccuracy in the original information recorded
- # recorded by the recipient under an agreement with the supplier (buyer-created taxable supply information)
- # recorded under a shared invoicing arrangement (supplier groups — not being a GST group), or
- # made available for the recipient for use as evidence for an input tax deduction.

As a result of the reforms, taxpayers are:

- # no longer required to issue tax invoices, credit notes, or debit notes (this simplification does not change invoicing and record-keeping requirements under general law)
- # not do not disturb the process for calculating and paying GST for each taxable period, and
- # set out how the terms tax invoice, credit note, and debit note referred to in existing documents and contracts are to be read in the context of the modernised invoicing rules.

The amendments also extend to record-keeping requirements for GST groups and companies electing to use the shared invoices under the simplified supplier group provisions.

Suppliers and recipients must continue to comply with commercial and contract law relating to invoicing, even though tax invoices are no longer required to be issued for GST purposes. This means invoices must still be used to notify the recipient of their obligations for payment for a taxable supply. The key technical change is that an invoice no longer needs to have the words “tax invoice” in a prominent place on the invoice.

Minimum supply information required

“Supply information”, for both the supplier and the recipient of a supply of goods or services, means, at a minimum, all the following information:

- # the name and GST registration number of the supplier
- # the date of the supply
- # a description of the goods or services, and
- # the amount of the consideration for the supply.

This definition is used to support the information requirements for taxable supplies with a value not exceeding \$200. Till receipts that contain this information are expected to satisfy the definition of “supply information” going forward.

What constitutes taxable supply information

"Taxable supply information" is defined in s [19E](#). The definition sets out the information required to be retained for all types of taxable supply. The information requirements differ according to either:

- # the value of the supply, or
- # the fact the supply is one of several specified types of supplies, each of which have their own information requirements due to the nature of the supply.

The meaning of "taxable supply information" differs for different value thresholds of taxable supplies (see below).

As the information recorded for a taxable supply is factual by nature, it is not necessary for a business record containing one or more elements of taxable supply information to include any wording that indicates it is taxable supply information. This is a marked change in requirement from the previous prescriptive requirement that a valid tax invoice must have the words "tax invoice" shown prominently on the invoice.

Both the supplier and recipient of a taxable supply must have a record of the taxable supply information for that supply under s [19F](#). Taxable supply information is not required to be retained in a single business record. A combination of systems can be used to store taxable supply information (eg customer records, inventory systems and sales system).

Taxable supply information based on value of the supply

There are 3 value thresholds for the general meaning of "taxable supply information". The information requirements for each are mutually exclusive, and the thresholds for the value of the supplies are as follows:

- # exceeding \$1,000 ([¶132-160](#))
- # not exceeding \$1,000 but exceeding \$200 ([¶132-170](#)), and
- # not exceeding \$200 ([¶132-180](#)).

The thresholds do not apply for certain imported supplies, secondhand goods, supplies by either a GST group or a supplier group, and distantly taxable supplies. See ss [19G](#), [19H](#), [19J](#), [19L](#) and [19M](#) for the requirements.

Agents making supplies

Agents who are registered may issue taxable supply information for supplies made on behalf of their principals (s [60\(1\)](#)).

Note, however, that s [60\(1B\)](#) deals with the situation where 2 taxable supply information documents are being issued by an agent and a principal, despite the breach of the Act ([¶132-610](#)). Section [60\(1B\)](#) provides that despite s [60\(1\)](#), if an agent and principal agree, a supply may be treated as 2 separate supplies and therefore 2 documents may legally be issued.

Taxable supply information for supplies to nominated recipients

Section [19I](#) relates to certain taxable supplies of goods under s [60B](#) where a person (person A) enters a contract to supply goods to a person (person B) who directs person A to deliver the goods to a nominated person (person C).

For a supply to a nominated person where:

- # the consideration is fully paid by person C, or
- # persons B and C each pay part of the consideration, or
- # the supply consists wholly or partly of land,

the nominated person (person C) must retain the following information for that supply:

- # the name and address of the supplier
- # the date on which payment for the supply is made
- # a description of the goods, and
- # the consideration for the supply.

Information for importation of certain goods and services

The GST registered recipient of a supply of imported goods or services that is either treated as being made in New Zealand, or where the recipient is required to account for output tax on the supply, is required to retain the following information about the supply (ss [19E\(2\)\(d\)](#), [19F](#) and [19G](#)):

- # the name and address of the supplier
- # the date on which, or the period during which, the supply was received
- # a description of the goods or services supplied
- # the consideration for the supply
- # the time by which payment of the consideration for the supply is required
- # the amount of the consideration for the supply that represents salary or wages the registered person has treated as not affecting the value of the supply (s [10\(15C\)\(a\)](#))
- # the amount of the consideration for the supply that represents interest the registered person has treated as not affecting the value of the supply (s [10\(15C\)\(b\)](#)).

Taxable supply information for supplies of secondhand goods

A registered person who receives a supply of secondhand goods valued more than \$200 (not being a taxable supply) must have a record of the following information about the supply:

- # the name and address of the supplier
- # the date on which the secondhand goods were supplied
- # a description of the secondhand goods
- # the quantity or volume of the secondhand goods, and
- # the consideration for the supply.

The above information is the taxable supply information to be recorded when acquiring secondhand goods by way of a sale transaction. This information requirement extends to a person or partnership who becomes registered after they have acquired the secondhand goods for use in making taxable supplies.

Taxable supply information for members of a GST group or a supplier group — ss 19E(2)(f), 19F, 19J, 19L, 55 and 55B

The GST group and supplier group rules (for shared invoices) provide that one member of the group is to keep a record of the taxable supply information and supply correction information for all supplies made by a member of a GST group or supplier group. Taxable supply information for a GST group and a supplier group relies on the definition of “taxable supply information” in ss [19E\(2\)\(a\)](#) to [\(c\)](#) and [\(f\)](#) and [19L](#).

Section [19L](#) provides that the taxable supply information in these circumstances is:

- # the relevant information under s [19E\(2\)\(a\)](#) to [\(c\)](#) based on the value of the supply (see above), and
- # the name and registration number of the representative member for the GST group or of the issuing member for the supplier group.

Taxable supply information for a supply made by an active member of a GST group (or a supplying member of a supplier group) is treated as being provided by the issuing member for the GST group or the supplier group, or in the case of a GST group, the representative member if the GST group does not have an issuing member. Additionally, where taxable supply information has been issued for a supply by an active member of

a GST group or a supplying member of a supplier group, the issuing member must also have a record of the name, address, and the registration number of the active member or supplier member actually making the supply (s [19J](#)).

Supplies of distantly taxable goods — ss 19E(2)(g), 19F and 19M

For taxable supplies of distantly taxable goods, including other goods imported with them (on which tax is charged at a rate greater than 0%) the registered supplier must take reasonable steps to ensure that the New Zealand Customs Service has available, by the time of the goods are imported (s [12C](#)):

- # the name and registration number of the registered person
- # information indicating the items included in the supply, or imported with the supply, for which the amount of tax included in the price of the supply is more than zero
- # information indicating the items included in the supply, or imported with the supply, for which the amount of tax included in the price of the supply is zero, or
- # information that is acceptable to the Commissioner in substitution for information referred to in the first 3 bullet points above.

The GST registered supplier is also required to provide the recipient of the supply with the following taxable supply information:

- # the taxable supply information that would be required if the goods supplied were not distantly taxable goods and not imported with distantly taxable goods (ie the relevant information under s [19E\(2\)\(a\)](#) to [\(c\)](#) based on the value of the supply)
- # the date upon which the receipt is issued
- # identification of the goods that are charged tax at more than 0%
- # Identification of the goods that are charged tax at 0%.

The consideration for the goods may be expressed in the currency received by the supplier. The Commissioner also has a discretion to allow alternative information particulars to those stated above.

Providing taxable supply information to a recipient — s 19K

The supplier making a taxable supply must provide taxable supply information to a registered recipient unless a provision states otherwise. Previously, a tax invoice only had to be provided at the request of the recipient. This change is not expected to create additional compliance costs as, under the previous law, registered recipients invariably requested tax invoices to support input tax claims.

The rules for the provision of taxable supply information, and exceptions, are as follows:

A taxable supply to a registered person greater than \$200

Where a taxable supply is made to a registered person having a value of greater than \$200, the supplier must provide taxable supply information for the supply to the recipient either within 28 days of the day of the supply, or by an alternative date agreed between the supplier and the recipient.

A taxable supply to an unregistered recipient greater than \$200

Where the recipient of a taxable supply is not registered for GST, the taxable supply information must only be supplied to the recipient if requested. If such a request is made, the taxable supply information must be provided within 28 days of the request.

Taxable supplies under \$200

Generally, a supplier is not required to provide taxable supply information for supplies having a value of not more than \$200. However, the supplier must keep a record of such low-value supplies. Contract and

commercial law considerations for such low-value supplies will generally require the supplier to provide supply information to a recipient, such as a receipt (either digital or manual). In addition, s 19F requires a registered recipient to have a record of taxable supply information, which is the same as was previously required under s 75. It is expected that a registered recipient will normally request the supply information for a low value supply.

Supplies of goods made under the exercise of a power

If a supply of goods made under the exercise of a power is treated under s 5(2) as being a taxable supply made by a person (eg goods sold in satisfaction of a debt where the debtor is treated as the supplier), the person exercising the power is required under s 19K(6) to:

- # issue taxable supply information for the person treated as being the supplier, as if the supplier were a registered person, and
- # if the supplier is not a registered person, include the supplier's tax file number in the information instead of a registration number

Distantly taxable goods and remote services

Distantly taxable goods are generally low-value imported goods supplied by non-resident merchants to New Zealand consumers (¶132-660). Remote services are cross-border services supplied by non-resident suppliers (including digital services purchased from offshore websites) to New Zealand-resident consumers (¶132-680).

For distantly taxable goods and services supplied by a non-resident supplier to a registered person in New Zealand for the person's taxable activity will be treated as being made outside New Zealand unless the non-resident supplier elects otherwise (s 8(4E)). The non-resident supplier can elect to treat the supply as made in New Zealand if, at the time of the election, the supplier expects that more than 50% of the value of supplies made to persons in New Zealand in the 12 months from the election will be made to non-registered persons, and the value of the supply does not exceed \$1,000 (s 8(4F)). If the non-resident supplier elects to treat the supply of distantly taxable goods as made in New Zealand, the non-resident supplier is required to provide taxable supply information to the recipient (s 19K(8)).

Another option available to a non-resident supplier of distantly taxable goods or remote services (applying s 8(3)(ab) or (c) and see exception to provision of information below) is to provide taxable supply information for the supply to the recipient, as long as all the following apply (s 19K(9)):

- # the supply is not a contract of insurance
- # the supply of goods or services was incorrectly treated either as being made in New Zealand when it should have been treated as being made outside New Zealand, or as not being zero-rated when it should have been
- # the value of the supply, in New Zealand currency as at the time of the supply, does not exceed \$1,000, and
- # the recipient notifies the supplier that they are a registered person and/or provides the supplier with their registration or NZBN (New Zealand business number).

Exceptions — when taxable supply information is not required to be provided to the recipient

A supplier is not required to provide taxable supply information for a taxable supply to a recipient when:

- # the consideration for the supply is \$200 or less, or
- # the supplier is a non-resident supplier who makes a supply of distantly taxable goods that is treated as being made in New Zealand (s 8(3)(ab) and see commentary above), or
- # the supplier is a non-resident supplier who makes a supply of remote services that is treated as being made in New Zealand under s 8(3)(c).

Note: there is an exception to the second point above. Where the non-resident supplier has elected under s [8\(4F\)](#) to treat the supply as made in New Zealand, the supplier must provide taxable supply information to the recipient of the supply, if the value of the supply is over \$200.

The Commissioner may determine that taxable supply information is not required to be provided to a recipient if the Commissioner:

- # is satisfied that sufficient records are available to establish the particulars of any supply or class of supplies, and
- # that it would be impractical to require taxable supply information to be provided.

The Commissioner may subject the supplier to additional conditions if it is considered necessary.

Shared invoices and supplier groups —s 55B

For taxable periods starting on or after 30 March 2022, s [55B\(1\)](#) allows a group of 2 or more registered persons (known as a supplier group) to enter into an agreement that requires one member of the group (the issuing member) to issue tax invoices, credit notes and debit notes for each supply of goods and services (other than sales of goods in satisfaction of debt) made by a member of the group (the supplying member). From 1 April 2023, the issuing member is responsible for taxable supply information. Members of the supplier group must not be members of the same GST group.

Section [55B\(2\)](#) requires an agreement between the members that:

- # provides that only the issuing member must issue tax invoices, credit notes and debit notes for each supply by a supplying member (from 1 April 2023, the issuing member must issue taxable supply information)
- # includes the name, address, and registration number for each member
- # where the agreement differs from normal commercial terms previously agreed by the members, records an explanation from each member as to the circumstances of the agreement, and
- # has not been invalidated by the Commissioner because it is considered that these requirements are not met.

The issuing member is responsible for all GST related obligations for a supplying member. This includes filing GST returns, making elections for the supplier group, and all record-keeping for the group. If a supplier group decides to change the issuing member, the Commissioner must be advised of the change. The new issuing member must notify the Commissioner and provide an undertaking to meet the obligations of an issuing member for the supplier group.

Input tax deductions —s 20(2)

A GST registered person is no longer required to retain a tax invoice in order to claim an input tax deduction. The amended legislation requires only that the registered person meet the requirements of s [75](#) for a taxable supply. This will generally mean it is necessary to have a record of the taxable supply that shows the GST charged on the supply for which input tax is claimed.

Law: GST ss [2](#), [19E](#), [19F](#), [19G](#), [19H](#), [19J](#), [19M](#), [19O](#), [19P](#), [19Q](#), [20\(2\)](#), [21B](#), [55](#), [55B](#), [60](#)

Last reviewed on 31 December 2025

Buyer created taxable supply information for GST [¶32-155]

[¶32-155]

[Click to open document in a browser](#)

For commentary on the requirements for buyer-created tax invoice for GST before 1 April 2023, please refer to CCH, *New Zealand Master Tax Guide 2023*.

The modernised GST rules permit a recipient of a supply to create taxable supply information for the supply. The taxable supply information that is to be recorded relies on the value threshold provisions ([¶32-160](#), [¶32-170](#) and [¶32-180](#)).

For taxable periods starting on or after 1 April 2023, s [19K\(4\)](#) provides the following changes for buyer-created taxable supply information:

- # It is no longer necessary to obtain the Commissioner's pre-approval to use the buyer-created taxable supply information provision.
- # The supplier and recipient must agree that:
 - # the supplier will not issue taxable supply information for taxable supplies to the recipient to which the buyer-created arrangement applies, and
 - # the recipient will issue taxable supply information for each taxable supply by the supplier to the recipient.
- # The taxable supply information does not need to include a statement that it is created by the recipient.
- # If the terms of the agreement are not part of the normal terms of business between the supplier and recipient, the parties must record the reasons for entering the agreement for buyer-created taxable supply information.
- # The taxable supply information for the supply must be retained by both the supplier and recipient in business records as part of GST record-keeping requirements (s [19F](#)).
- # A recipient of a supply must provide the supplier with the buyer-created taxable supply information within 28 days of the supply or by an alternative date agreed between the supplier and the recipient.

The Commissioner may invalidate the agreement before a supply because the Commissioner considers either:

- # the supplier and the recipient have not complied with the agreement, or
- # they have not recorded the reasons for the agreement where it is not part of their normal terms of business.

Law: GST s [19K\(4\)](#)

Last reviewed on 31 December 2025

Taxable supply information for supplies exceeding \$1,000 [¶32-160]

[¶32-160]

[Click to open document in a browser](#)

For commentary on the requirements for tax invoices for supplies exceeding \$1,000 before 1 April 2023, please refer to CCH, *New Zealand Master Tax Guide 2023*.

A supplier and recipient must retain all the following information in their business records for supplies exceeding \$1,000:

- # the name and registration number of the supplier
- # recipient details for the recipient (see below)
- # the address of a physical location for the recipient, if the address is available to the person and not otherwise included in the recipient details
- # the date of the supply
- # a description of the goods or service, and
- # for tax charged on the supply, either:
 - # if the amount of tax charged is the tax fraction of the consideration for the supply, the amount of the consideration for the supply and a statement that the amount includes a charge in respect of GST, or
 - # the total amount of tax charged for the supply, the consideration for the supply excluding the tax, and the consideration for the supply including the tax.

This is like the information previously required for a tax invoice for supplies more than \$1,000, however, it is no longer necessary to keep details relating to the quantity or volume of the supply.

“Recipient details” are defined in s [2](#) as the name of the recipient and one or more of the following contact points for the recipient:

- # an address of a physical location for the person, such as a mailing or billing address
- # a telephone number
- # an email address
- # a trading name other than the name of the recipient
- # a New Zealand business number, or
- # a URL address for a website.

Law: GST ss [2\(1\)](#), [19E\(2\)\(a\)](#), [19F](#)

Last reviewed on 31 December 2025

Taxable supply information for supplies between \$200 and \$1,000 [¶32-170]

[¶32-170]

[Click to open document in a browser](#)

For commentary on the requirements for tax invoices for supplies between \$50 and \$1,000 before 1 April 2023, please refer to CCH, *New Zealand Master Tax Guide 2023*.

The taxable supply information that must be retained by both the supplier and the recipient for a supply that has a value exceeding \$200 but not exceeding \$1,000 is:

- # the supply information for the supply, and
- # a statement that the amount of consideration includes tax charged for the supply, or a statement of the amount of tax charged for the supply.

Depending on the digital point of sales system used by the supplier, generally, the record of the sale will contain the relevant taxable supply information. For example, a till record and an associated till receipt are likely to contain the necessary information. Manual invoices or receipts may need to be prepared if the supplier does not use digital point of sale systems to comply with contract and commercial law.

Law: GST ss [19E\(2\)\(b\)](#) and [19F](#)

Last reviewed on 31 December 2025

Taxable supply information for supplies of \$200 or less [¶32-180]

[¶32-180]

[Click to open document in a browser](#)

For commentary on the requirements for tax invoices for supplies \$50 or less before 1 April 2023, please refer to CCH, *New Zealand Master Tax Guide 2023*.

The taxable supply information that must be retained by both the supplier and the recipient for a supply that has a value not exceeding \$200 is the supply information for the supply. In most cases, a record of the sale will contain the relevant taxable supply information will be generated by the point-of-sale system. A GST-registered recipient is entitled to request a manual receipt if no till receipt is available.

Law: GST ss [19E\(2\)\(c\)](#), [19F](#), [75](#)

Last reviewed on 31 December 2025

Credit and debit notes – correcting taxable supply information [¶32-205]

[¶32-205]

[Click to open document in a browser](#)

From 1 April 2023, the requirement to issue credit notes and debit notes is repealed and replaced by provisions relating to “supply correction information” ([¶32-151](#)). All references to a credit note or a debit note are to be read as including a reference to supply correction information after 1 April 2023.

A price may be altered after a taxable supply is made. Any GST return or taxable supply information prepared on the basis of the original price might, therefore, show an incorrect GST element.

A GST adjustment must be made if a return or taxable supply information shows an incorrect GST component because:

- # the supply was cancelled
- # the nature of the supply has been fundamentally varied or altered
- # the supplier incorrectly applied the Act so that the supply was charged with tax at an incorrect rate, or charged with tax when it should not have been, or not charged with tax when it should have been
- # the supply is treated as a supply of distantly taxable goods and GST was paid to Customs on importation and the supplier has reimbursed the recipient for the GST charged
- # the consideration for the supply has been altered (eg because of a discount), or
- # part or all of the supply has been returned.

Adjustment by the supplier or recipient

A supplier must make an adjustment if they have furnished a return and accounted for an incorrect amount of tax.

The adjustment must be made to the correct amount of tax. If the consideration for the supply is increased, the supplier must account to the Commissioner for GST charged on the increase. If the consideration is reduced, the supplier may deduct (in their return) the GST originally charged on the reduced amount. The adjustment should be made in the taxable period in which the change become apparent.

An adjustment can also be made by any registered recipient who knows of the consideration reduction or has been issued with supply correction information. The recipient must account to the Commissioner for GST originally claimed as a deduction on the amount of the reduction.

Correcting information

Taxable supply information containing inaccurate information may have issued and correction may be required. The supplier must then issue “supply correction information” which complies with s [19N](#). This information effectively replaces debit and credit notes which were more prescriptive in nature. Section [19E\(1\)](#) states that supply correction information must contain the following:

- # the name and the registration number of the supplier
- # information identifying the taxable supply information
- # the date of the supply correction information
- # the correction to the taxable supply information, with a correction to the amount of tax charged for the supply being expressed as:
 - # where GST is shown as a separate charge:
 - the amount of consideration shown in the taxable supply information for the supply
 - the correct amount of consideration for the supply
 - the difference between those 2 amounts, and

- the correction to the amount of tax charged resulting from the amount of that difference, or
- # where the total consideration is shown as a GST-inclusive amount:
 - the amount of consideration shown in the taxable supply information for the supply
 - the correct amount of consideration for the supply
 - the difference between those 2 amounts, and
 - a statement that the amount of that difference includes an amount of tax charged.

Under the amended rules, corrections can be retained in business records rather than requiring formal credit notes and debit notes to be issued. Supply correction information is mandatory in some circumstances and not in others. The correction rules also apply to the record-keeping member of a GST group or a supplier group, and a person who uses buyer-created taxable supply information.

When supply correction information must be provided — ss 19F and 19N(2)

It is mandatory to provide supply correction information to the recipient of a supply when:

- # the taxable supply information previously provided for that supply has an inaccuracy in the amount of tax charged, or
- # the supplier has included the incorrect output tax amount in a GST return.

The supply correction information for the supply must be provided:

- # by a date agreed between the supplier and the recipient, or
- # if no date has been agreed between supplier and recipient, within 28 days of the date of the taxable supply information that contained the inaccuracy.

When supply correction information is not required to be provided — s 19N(3), (4), (5), (6) and (8)

Supply correction information for a taxable supply is not required to be provided to the recipient in the following circumstances:

- # the GST shown in the taxable supply information for the supply exceeds the GST charged on the supply and the excess arises from either a prompt payment discount stated in the taxable supply information or an agreed discount between the supplier and the recipient that is part of the usual business terms or recorded by the parties.
- # part of the consideration shown in the taxable supply information has been rebated under a Pharmac agreement.

In addition, supply correction information may be provided (but is not mandatory) in the following circumstances:

- # if the registered recipient of a supply has provided buyer-created taxable supply information to the supplier and either:
 - # that taxable supply information has an inaccuracy in the amount of tax charged, or
 - # the supplier has included the incorrect output tax amount in a GST return.
- # if the supply correction information relates to taxable supply information for taxable supplies, or a class or classes of taxable supplies, made to the recipient, or to a class of recipients that include the recipient, and either:
 - # that information has an inaccuracy in the amount of tax charged, or
 - # the supplier has included the incorrect output tax amount in a GST return.
- # When a person claims to have lost previously issued supply correction information, the registered person who issued the information may provide a copy as a replacement.

When supply correction information issue may not be provided — s 19N(7)

Supply correction information may not be provided to a recipient after whichever of the following dates, or the earliest of the dates, that is applicable to the supply:

- # 7 years from the date of settlement of a transaction where s [11\(1\)\(mb\)](#) was incorrectly applied to the treatment of the supply
- # from 4 June 2020, 4 years from the end of the 4-year period referred to in the relevant subsection of s [45](#) (so 8 years in total) when the credit note is issued to correct a clear mistake or simple oversight
- # from 4 June 2020, in any other case, 4 years from the end of the taxable period in which the return was provided by the supplier for the taxable period in which the supply was made.

Note that the time limits for issuing supply correction information for a supply made in an earlier period are intended to align with the “time bar” that applies to GST refunds made through amendments to GST returns, which is generally 4 years from the end of the taxable period ([¶32-240](#)). Section [19N\(7\)\(b\)](#) has been amended to align with the test as set out in the refund rules, which provides for an additional 4-year period to issue a refund if the overpayment of tax is a result of a clear mistake or simple oversight by the person. This amendment makes it clear that supply correction information cannot be issued to correct supplies that would be subject to the time bar in s [45\(4\)](#).

Law: GST ss [19E](#), [19F](#), [19N](#), [25](#), [45](#)

Last reviewed on 31 December 2025

GST and late filing penalty [¶32-223]

[¶32-223]

[Click to open document in a browser](#)

A late filing penalty will be imposed for failing to file a GST return on time. However, the penalty will not be imposed the first time that a GST return is late. Instead, IR will issue a warning that any subsequent late returns, in the 12 months following the first breach, will be penalised.

The late filing penalty will be payable if any GST returns are filed late in the 12 months following the first breach. If all GST returns due in the next 12 months are filed on time, the process will start again — that is, if a subsequent return is late, the taxpayer will receive a warning.

The amount of the late filing penalty is:

- # \$250, if on the due date for the return the registered person accounts for GST on an invoice or hybrid basis ([¶32-078](#)), or
- # \$50, if on the due date for the return the registered person accounts for GST on a payments basis.

The due date for the payment of the late filing penalty for a return required by ss [16–18](#) of the GST Act is:

- # the 15th day of February, if the month following the end of the taxable period is December
- # the 7th day of June, if the month following the end of the taxable period is April, or
- # in all other cases, the 28th day of the second month following the end of the taxable period.

Law: TAA ss [139AAA](#), [142\(1B\)](#)

Last reviewed on 31 December 2025

Interest and penalties for GST [¶32-225]

[¶32-225]

[Click to open document in a browser](#)

Interest

Interest is imposed under Pt 7 of the TAA in every case where there has been non-payment, underpayment or late payment of tax. The Commissioner has no discretion to waive interest.

Interest payable by the taxpayer is calculated on a daily basis on the amount of unpaid tax and is also charged on any accumulated penalties, such as late payment penalties and tax shortfall penalties.

For a full discussion of interest payable to and by the Commissioner, see [¶14-200](#).

Penalties

A range of penalties may apply depending on a taxpayer's default. Briefly, these penalties include:

- # a late payment penalty ([¶14-050](#))
- # shortfall penalties for—
 - # not taking reasonable care ([¶14-112](#))
 - # unacceptable tax position ([¶14-115](#))
 - # gross carelessness ([¶14-117](#))
 - # abusive tax position ([¶14-119](#))
 - # evasion and similar acts ([¶14-121](#))
 - # manufacturing, supplying, acquiring or possessing ESS tools ([¶14-265](#))
 - # criminal offences and penalties—
 - # absolute liability offences ([¶14-240](#))
 - # knowingly failing to comply with an obligation ([¶14-250](#))
 - # evasion-type offences ([¶14-260](#)).

For a full discussion of the penalties that may apply, including the ability to gain reductions in penalties, dates for payment of penalties and the remission of penalties, see Chapter 14 Penalties, Interest and Offences.

Last reviewed on 31 December 2025

GST and refund of excess tax paid [¶32-240]

[¶32-240]

[Click to open document in a browser](#)

The Commissioner is required to refund excess tax if an assessment results in a registered person having overpaid tax or being entitled to a refund. The Commissioner must refund GST overpaid if they are satisfied that the amount of the refund represents an excess over the amount properly payable. The Commissioner must also refund GST overpaid as a result of a reassessment and GST that should have been refunded at an earlier time.

In general, a 4-year time limit applies. However, an 8-year period applies for GST overpaid as a result of a clear mistake or simple oversight (s [45\(4\)](#)).

Disagreement as to the merits of the refund claimed can trigger the disputes and/or penalties regime. Interest will be payable by the party who ultimately has to refund or pay GST for the relevant taxable period.

The Commissioner may apply refunds of GST against tax, including income tax, owing under any of the Inland Revenue Acts.

Under s [174AA](#) of the TAA, the Commissioner need not refund any amount of \$20 or less.

Law: GST ss [45–47](#); TAA ss [108A](#), [174A](#), [174AA](#)

Last reviewed on 31 December 2025

Timing of refunds and ability to withhold refunds for GST [¶32-245]

[¶32-245]

[Click to open document in a browser](#)

Subject to certain exceptions, the Commissioner is required to make refunds arising from an excess of input tax deductions and adjustments over output tax or following a change in accounting basis not later than 15 working days following the day of receipt by the Commissioner of the relevant return (s [46\(1\)\(a\)](#)).

A “[working day](#)” is defined in the GST Act as any day other than Saturday, Sunday, Good Friday, Easter Monday, Anzac Day, Labour Day, the Sovereign’s birthday and Waitangi Day, a day in the period from 25 December in any year to 15 January in the following year, and the Monday following Waitangi Day or Anzac Day if either of those days fall on a Saturday or Sunday.

The Commissioner may withhold a refund:

- # if the Commissioner is not satisfied with a return and a decision is made to investigate that return
- # if a registered person has failed to furnish a return for any taxable period, or
- # when further information is requested in respect of a GST return.

In addition, the Commissioner may deduct from the amount to be refunded (including any interest) any overdue GST or tax remaining unpaid under any Inland Revenue Act (eg income tax) in accordance with the registered person’s, or their tax agent’s, request or, in the absence of a request, in such order or manner as the Commissioner determines (s [173T](#) of the TAA and s [46\(6\)](#) of the GST Act).

When a decision is made to investigate a return or a refund is withheld for failing to file a return, written notice must be given to the registered person within 15 working days after the day of receipt of the return (s [46\(5\)](#)). When the decision is to request further information, the initial request must be given within 15 working days following the day of receipt of the return (s [46\(4\)](#)). Although s [46\(4\)\(b\)](#) provides that subsequent requests for information must be given within 15 working days following the date of receipt of any information previously requested by the Commissioner, the Supreme Court decision in *Contract Pacific Ltd v C of IR* (2011) 25 NZTC ¶20-006 means this provision may have little practical effect. See below.

Where a timely request for information or a timely notice of a decision to investigate has been made under s [46\(4\)](#) or [\(5\)](#), respectively, the Commissioner is then not required to make a refund until the day after the working day that the Commissioner determines the amount is refundable and the Commissioner is satisfied the registered person has complied with their tax obligations (s [46\(1\)\(b\)](#)).

Section [46\(1B\)](#) extends the refund and investigation period from 15 days to 90 days for registered non-residents. This extended period reflects the fact that non-residents’ returns may require some communication before they can be finally processed, and thus an extended period is desirable to allow for this communication.

Application of s 46

In *Sea Hunter Fishing Ltd v C of IR* (2001) 20 NZTC 17,206 and *Sea Hunter Fishing Ltd v C of IR* (No 2) (2001) 20 NZTC 17,216, the High Court confirmed that there was a statutory obligation to refund no later than 15 working days from the day on which the registered person’s return was received by the Commissioner. Because the Commissioner had failed to meet the statutory deadline for a request for information to be sent to the taxpayer, the High Court ordered the Commissioner to honour a \$2.5 million GST refund cheque that IR had stopped, claiming it was issued in error. The Court of Appeal held that the Commissioner had failed to fulfil the statutory condition in s [46](#) to give an information request concerning a GST return or to notify an intention to investigate the circumstances of the return within a period of 15 working days following the day the taxpayer’s return was received by the Commissioner. The practical effect of the section is that a request is not given by the Commissioner until it actually reaches the taxpayer (or the

taxpayer's agent) or is deemed to have been received in accordance with s [14\(2\)](#) of the TAA. See *C of IR v Sea Hunter Fishing Ltd* (2002) 20 NZTC 17,478 (CA).

In *Contract Pacific Ltd v C of IR* (2011) 25 NZTC ¶20-006, the Supreme Court dismissed the taxpayer's appeal from the Court of Appeal decision reported as *C of IR v Contract Pacific Ltd* (2010) 24 NZTC 24,006 and held that the Commissioner had satisfied the time limits set by s [46](#) because the taxpayer was notified of IR's intention to investigate a refund claim within the 15-working-day time period. Once timely notice of investigation under s [46\(5\)](#) was given on 10 July 2000, later requests for information by the Commissioner could not sensibly be regarded as subject to the s [46\(4\)](#) time limits. The Supreme Court found that, since the Commissioner gave notice of investigation within 15 days of the receipt of the taxpayer's return, the s [46\(1\)\(a\)](#) obligation to make the refund within 15 days was overtaken by the exception in s [46\(1\)\(b\)](#). The requirement to make a refund could therefore not be enforced until the Commissioner had determined that the GST was refundable and was satisfied that the taxpayer had complied with its tax obligations under s [46\(1\)\(b\)](#). Since the Commissioner was not satisfied that these criteria had been met, the Court said that the refund claimed never became payable.

The Supreme Court did recognise that its interpretation of s [46](#) means that the specification of a time limit for follow up requests of information may be of limited practical effect. However, the Court did not see the request for information procedure as redundant. In the sort of cases for which it is intended, namely routine inquiries, the Court assumed the Commissioner's staff would continue to employ it and, where they did, the statutory time limit for further requests would, in practice and by their exhortatory effect, ensure reasonable expedition.

See also *Riccarton Construction Ltd v C of IR* (2010) 24 NZTC 24,191 (HC).

Refund following investigation

When the tax liability of a registered person over a number of taxable periods is investigated, the Commissioner may allow any amount found to be refundable to be deducted from any tax assessed to be payable. This applies notwithstanding that the time limit for making the refund has expired (see above). The Commissioner has a discretion to allow such deductions to the extent that, in the Commissioner's opinion, it is equitable to do so.

Partial refunds

Under s [174A](#) of the TAA, the Commissioner may refund overpaid GST:

- # for a GST return period, or
- # for more than one GST return period, if the return periods are the subject of one NOPA.

The refund may be made even if other GST liabilities of the registered person in respect of the GST return period or periods remain the subject of a NOPA or one or more outstanding assessments.

The partial refund will only be made if all of the following are satisfied:

- # the Commissioner considers there is no risk to IR in making the refund
- # the registered person generally complies with all of their GST return and payment obligations
- # the registered person is not in material breach of any of their other tax obligations, and
- # after the refund is made, the registered person will have paid (or will be credited as having paid) GST for the GST return period(s) to an amount at least equal to the GST that remains the subject of the NOPA or outstanding assessment(s).

Direct crediting of refunds

Since 7 February 2017, a refund of GST paid in excess must be made by direct credit to a bank account nominated by the taxpayer, unless this will cause undue hardship or is not practicable (s [184A](#) of the TAA).

Interest on refunds

Interest is payable by the Commissioner on refunds of GST. For the current interest rate, see CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* ¶50-083. If the return is supplied before the due date for payment, the interest runs from the 10th working day (15th working day for taxable periods ending before 1 April 2018) after IR receives the GST return. In all other cases, use of money interest is payable from the later of:

- # the day after the day on which the return is provided, or
- # the day after the day on which payment is made.

Any refunds of GST must be applied first against any use of money interest obligations the taxpayer has, and then against the taxpayer's GST liability (s 120F of the TAA).

If the Commissioner has withheld a refund following an investigation or a request for further information, interest is payable by the Commissioner if the refund is not paid within the time frame set out above.

Use of money interest is not payable on GST refunds for non-residents registered under s 54B of the GST Act.

See further at ¶14-200.

Law: GST ss 2(1) ("working day"), 46; TAA ss 120C, 120F, 173T, 174A, 184A

Last reviewed on 31 December 2025

Assessment and disputes resolution procedures for GST [¶32-275]

[¶32-275]

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GST is collected under a system of self-assessment. GST is to be paid to (or refunded by) the Commissioner in accordance with the information provided in a return. The Commissioner will only intervene when dissatisfied with the return made or where the registered person fails to self-assess. The Commissioner has specific powers to amend a taxpayer's assessment or to make an assessment (ss [106](#) and [113](#) of the TAA). QWBA [QB 09/04](#): "The relationship between section [113](#) of the TAA and the proviso to section [20\(3\)](#) of the GST Act" states that it is not the Commissioner's practice to exercise the discretion in s [113](#) when s [20\(3\)](#) provides a specific mechanism by which taxpayers can correct a failure to claim an input tax deduction themselves. However, in certain circumstances (such as where the tax position was adopted on the basis of incorrect advice given by IR), the Commissioner will exercise the discretion.

Standard practice statement [SPS 20/03](#), "Requests to amend assessments" confirms that the Commissioner's practice is generally not to exercise their discretion under s [113](#) of the TAA when s [20\(3\)](#) provides a specific mechanism and refers taxpayers to [QB 09/04](#) for further guidance.

If a person's GST return contains one or more errors and the total discrepancy is \$1,000 or less or the error is not material for that person, the person is allowed to rectify the error in the next return due after discovering the error ([¶32-074](#)).

Under s [138E\(1\)\(e\)\(iv\)](#), taxpayers cannot challenge the exercise of the Commissioner's discretion under s [113](#) by commencing proceedings in a hearing authority. However, the exercise of this discretion may be subject to judicial review.

A person may judicially challenge an assessment issued by the Commissioner, but only if the person has fulfilled the requirements of the disputes resolution process within the prescribed time limits ([¶4-120](#) and [¶4-215](#)).

Law: TAA ss [106](#), [113](#), [113A](#), [138](#)

Last reviewed on 31 December 2025

Avoidance and GST [¶32-280]

[¶32-280]

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Section 76 of the GST Act is a general anti-avoidance provision, similar to s BG 1 of the IT07 (¶133-010 to ¶133-085). The general effect of s 76 is to give the Commissioner the power to counteract any tax advantage obtained by a registered person from or under a tax avoidance arrangement. In other words, the arrangement is void against the Commissioner.

A "tax avoidance arrangement" is defined as an arrangement that directly or indirectly has:

- # tax avoidance as its purpose or effect, or
- # tax avoidance as one of its purposes or effects (unless it is merely incidental), whether or not another purpose or effect relates to ordinary business or family dealings.

"Arrangement" is given the same definition in s 76(8) of the GST Act as that contained in s YA 1 of the IT07, namely "an agreement, contract, plan, or understanding, whether enforceable or unenforceable, including all steps and transactions by which it is carried into effect".

The term "tax avoidance" includes:

- # a reduction or postponement in the liability of a registered person to pay tax
- # an increase in the entitlement of a registered person to a refund of tax
- # an earlier entitlement of a registered person to a refund of tax
- # a reduction in the total consideration payable by a person for a supply of goods and services.

Much of the case law on the parallel anti-avoidance provisions of the Income Tax Acts will be relevant to the interpretation of s 76 of the GST Act. Interpretation statement IS 13/01, "Tax avoidance and the interpretation of sections BG 1 and GA 1 of the Income Tax Act 2007" outlines the Commissioner's view of the law on tax avoidance in New Zealand. Although not dealing directly with s 76 of the GST Act, much of the discussion contained in the statement may be of use in interpreting that section (¶133-137).

The Commissioner's power to deal with tax avoidance arrangements extends to treating:

- # a non-registered person as registered
- # a supply to be made by or to any person
- # a supply to occur in the taxable period in which it would have occurred had it not been for the (void) arrangement, and
- # a supply to have been made at its "open market value".

Also, if part or all of a taxable activity is transferred between associated parties, the turnover of the transferred activity can be attributed to both the transferor and the transferee for the purposes of calculating the GST registration and other threshold levels. This applies unless the Commissioner considers the result to be inequitable (s 76(5)–(7)).

Case law on s 76

The application of s 76 was considered in Case W22 (2003) 21 NZTC 11,212 which involved a scheme in relation to land subdivision and development. The scheme was designed to take advantage of the mismatch between invoice-based and payments-based registered person. The TRA held that the scheme was an arrangement that defeated the intention of the GST Act by allowing the taxpayer to obtain an input tax refund that would not otherwise have been payable. The scheme prevented the application of the Act by denying the Crown, on the one hand, the revenue that the GST Act was designed to exact and on the other by requiring it to disgorge public moneys to fund the development of \$80 million worth of property. This decision was affirmed by the High Court in *Ch'elle Properties (NZ) Ltd v C of IR* (2004) 21 NZTC 18,618 and upheld by the Court of Appeal in *Ch'elle Properties (NZ) Ltd v C of IR* (2007) 23 NZTC 21,442 (CA). The Court of Appeal held that the 10–20 year delay defeated the intent of the GST Act and accordingly triggered s 76.

The Supreme Court subsequently dismissed the taxpayer's application for leave to appeal the decision. Other similar schemes exploiting the timing mismatch between taxpayers registered on an invoice basis and those on a payments basis have also been found to be void under s [76](#) (Case X23 [\(2006\) 22 NZTC 12,290](#) and Case X25 [\(2006\) 22 NZTC 12,303](#)).

Section [19D](#) requires a taxpayer registered on a payments basis who makes a single supply (or a number of related supplies) for a consideration of more than \$225,000 to return that supply on an invoice basis. The purpose of this tax avoidance provision is to close an identified loophole whereby a person registered for GST on a payments basis supplied goods or services (usually property) to a person who was registered on an invoice basis. Settlement was deferred for a length of time (a number of years in some cases) giving a timing advantage to the supplier, who did not have to account for output tax until settlement eventually occurred. The section limits a taxpayer's ability to exploit the mismatch between registration bases. Supplies by payments basis taxpayers below \$225,000 may still be caught by s [76](#) (*Education Administration Ltd v C of IR* [\(2010\) 24 NZTC 24,238 \(HC\)](#)).

In *Glenharrow Holdings Ltd v C of IR* [\(2005\) 22 NZTC 19,319](#), the High Court held that the purchase price of a mining licence by Glenharrow Holdings Ltd for \$45 million was grossly inflated and applied s [76](#) to reduce the consideration upon which the requested input tax refund was based. The Court of Appeal supported the Commissioner's approach to deem the supply to occur at open market value and also found the arrangement to be tax avoidance. The arrangement was tax avoidance because the obligation to pay the purchase price was, in commercial terms, only a conditional commitment to repay a loan. The taxpayer had not suffered the economic burden intended by Parliament that would entitle it to claim an input tax deduction for the full amount of the purchase price (*Glenharrow Holdings Ltd v C of IR* [\(2007\) 23 NZTC 21,564 \(CA\)](#)).

On appeal, the Supreme Court considered that there was a 2-stage process before the Commissioner could carry out a reconstruction under s [76](#). First, the Commissioner must have been justified in coming to the view that there was an "arrangement" entered into between at least 2 persons. Secondly, the Commissioner must have been properly satisfied that the arrangement was entered into between the parties to defeat the intent and application of the GST Act or any provision of the Act. The Supreme Court found the effect of the arrangement produced a GST refund that was disproportionate with the economic burden suffered by the taxpayer or the economic benefit obtained by the vendor (*Glenharrow Holdings Ltd v C of IR* [\(2009\) 24 NZTC 23,236 \(SC\)](#)).

Law: GST ss [19D](#), [76](#)

Last reviewed on 31 December 2025

Suppression of sales [¶32-290]

[¶32-290]

[Click to open document in a browser](#)

Revenue Alert [RA 22/01](#), “Consequences of acquiring, possessing or using electronic sales suppression tools” was issued as IR has become aware of electronic sales suppression tools (ESS tools) being used in New Zealand which systematically alter point-of-sale data. Use of ESS tools allow a GST-registered person to understate or completely conceal revenue and enables that person to evade both income tax and GST on the suppressed sales. IR issued the alert to educate taxpayers as to the consequences of using ESS tools. The ESS tools can either be software programs, devices or other tools which have functionality that enables any of the following:

- # permanently delete and re-sequence transactions
- # change transactions to reduce the amount of a sale
- # misrepresent records (eg recategorising a product to avoid GST)
- # produce false records.

In response to the use of ESS tools and the threat to the integrity of the tax system, a civil penalty and 2 new criminal offences provisions have been introduced in relation to involvement with ESS tools:

- # Section [141EE](#) establishes the ESS penalty of \$5,000 for the acquisition or possession of a suppression tool.
- # Section [143BB](#) establishes an offence of manufacturing or supplying a suppression tool. A person convicted of such an offence is liable to a fine of up to \$250,000.
- # Section [143BC](#) establishes an offence of acquiring or possessing a suppression tool. A person convicted of such an offence is liable to a fine of up to \$50,000.

The Commissioner views the acquiring, possessing or using of ESS tools as serious, therefore the Commissioner will require payment of the evaded tax, plus penalties and interest. If payment is not made, the Commissioner may apply for bankruptcy or liquidation of the registered person.

Law: TAA ss [3](#) (“[electronic sales suppression tool](#)”), [141EE](#), [143BB](#), [143BC](#)

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